

Fairness group 7

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<https://www.consumerreports.org/money/questionable-business-practices/instacart-ai-pricing-experiment-inflating-grocery-bills-a1142182490/>

Instacart's AI-Enabled Dynamic Pricing Experiments

Instacart, is an American retail media and delivery company that operates a grocery delivery and pick-up service in the United States and Canada. It allows customers to order groceries, with the shopping being done by a personal shopper, who picks, packs, and delivers the order.

1) Is it fair to charge different prices for different people based on their wealth?

There could be two different interpretations here. First, if you compare two persons, the first is wealthy, and the second is poor, they are unequal. Because of that they should be treated proportionally unequally with different prices that reflect their wealth inequalities.

A second interpretation could be the following. The wealthy person may have gained their wealth by working harder than the poor person, and so one could consider them as being equal. So by changing the price, this would result in the algorithm being unfair.

2) What would be other kinds of data the algorithm would use in order to be fair for all?

The first type of data that could be used by the algorithm is the position of the buyer. If for example the buyer is ordering from a low-income neighborhood the algorithm could assign the item a lower price.

Another kind of data could be the ethnicity of the person. If the developers are willing to make a consideration like the one done by the ProPublica example in the videos, they could in theory aim to create a balance between the prices for different ethnic groups based on their expected income.

3) How does the practice of “dynamic pricing” relate to other ethical values?

As we discussed before, this issue is closely connected to privacy because the people involved in the experiment are unaware that their data has been collected and used. As a result, they have no control over how their information is handled. This also raises concerns

about dignity because the participants are being treated as mere numbers rather than as human beings.

4) Is Instacart's AI more fair when it takes into account an individual's urgency, or when it makes decisions based on the statistical profile of their group?

Individual pricing could violate dignity by exploiting personal urgency as a "means" for profit, while group-based pricing creates "statistical discrimination," penalizing an individual based on their neighborhood's wealth rather than their own reality. Both fail the Aristotelian test, as the price difference is justified by the user's vulnerability rather than an actual increase in service cost.

Questions about fairness videos

We don't have any questions about the videos.